Transformers & Rectifiers (India) Ltd

Concall tracker, Q2 2027 report (results for the quarter ended 30 Sep 2026) · NSE: TARIL

1. Snapshot

An Ahmedabad company that designs and builds power transformers, the big boxes that step electricity up and down on its way from power plants to homes and factories. It sells mostly to state power utilities, Power Grid, private power developers and industrial buyers, plus some exports to over 40 countries. It earns by winning tenders and then building and delivering against that order book over 18 to 24 months.

Number	Value	Plain read
Market cap	₹9,542 cr	What the stock market values the whole company at today.
FY26 sales	₹2,395 cr	Full-year sales, up about a quarter on the year before, but short of the ₹2,600 cr management had promised.
FY26 profit	₹225 cr	Bottom-line profit for the year, up about a fifth.
Q2 FY27 sales	₹709 cr	Up two-thirds on a weak quarter a year ago; its best September quarter by far.
Q2 FY27 operating margin	16%	Of every ₹100 of sales, ₹16 is left before interest, tax and depreciation. Up from 9% a year ago.
Debt to equity	0.35x	Borrows about a third of what shareholders have put in. Manageable, but most of it is short-term money funding slow customer payments.
P/E	~35x	Investors pay about 35 years of current profit for the stock. Not cheap.

2. Concall coverage

Quarter	Call date	Transcript read?
Q1 FY24 → Q3 FY26 (11 calls)	Aug 2023 → Jan 2026	Skimmed for promises and guidance
Q4 FY26	21 Apr 2026	Read for guidance and the delay questions
Q1 FY27	21 Jul 2026	Deep-read
Q2 FY27 ★	13 Oct 2026	Deep-read in full

15 transcripts on Screener, three and a quarter years of calls. This is the first report on this company.

Latest concall highlights: Q2 FY27 (13 Oct 2026)

- **Big jump in results.** Sales ₹709 cr, up 66% on the year; operating profit tripled to ₹114 cr and the margin hit 16%. Management credits fuller use of the Moraiya plant, with price-variation clauses passing raw-material costs through (price adds about 7-8% of the growth).
- **First nuclear order.** Generator transformers for NPCIL's Kaiga units 5 and 6, won against Crompton and others. Management says it'll repeat as more nuclear plants come up.
- **Order book ₹7,237 cr**, up 32% on the year, to be billed over 18-24 months, about two and a half years of current sales. New orders this quarter ₹1,169 cr from Megha Engineering, APTRANSCO, DVC and GETCO. Another ₹21,000 cr of bids are pending.
- **Changodar expansion** (about ₹150 cr, taking total capacity to 75,000 MVA) to start production around Diwali, after slipping about a year. The CTC copper-wire plant slips again, now trial runs in Nov-Dec and in-house use from Q4.

- **Guidance held**: FY27 sales growth of 25% (around ₹3,200 cr), 16% operating margin, 9-10% net margin. Tone confident, and a lot less defensive than in April.

Business mix & capacity
Domestic ~92% / Exports ~8% of Q2 FY27 sales; exports are ~15% of the order book. Most of what it sells stays in India, and the old goal of a quarter of sales from exports by FY26 hasn't happened.
Capacity: about 75,000 MVA once Changodar runs (Changodar goes from 12,000 to 35,000 MVA). Q2 output was about 9,500 MVA in the quarter, so the plants are already well used; management wants to run at about 90%. Moraiya gets about 30% more room once the pressboard plant moves out of it.

3. Earning Trigger thesis

The story is simple: India is spending heavily on power lines and substations, transformers are short, and TARIL has an order book bigger than two years of sales. More plant room (Changodar now, Moraiya extra-high-voltage later) lets it turn that book into sales faster. Its own parts plants (copper wire, pressboard, bushings, tanks, steel processing) should then add 2-3 points of margin from FY28-29. New doors are opening: nuclear, data centres, and HVDC lines in about a year and a half.

Trigger	What management said	Evidence so far	Time horizon	Strength
Order book + new capacity	₹7,237 cr book, billed in 18-24 months; Changodar starts around Diwali	Q2 sales up 66%, margin 16%; book up 32%	H2 FY27-FY28	Strong: the orders are real and already showing in sales
Backward integration	2-3 points of margin, full effect in FY29	Steel processing running; copper wire, pressboard, bushings, tanks still being built and slipping	FY28-FY29	Moderate: sensible, but every date has moved
Nuclear, data centres, HVDC	Nuclear repeatable; regular data-centre supplier; HVDC qualified in ~18 months	First NPCIL order won; HVDC still at the repair-and-test stage	FY28+	Unproven for HVDC, emerging for nuclear
US$1 billion sales	Was "within 3 years" (Apr 2025); now late FY29 or early 2030	FY26 sales ₹2,395 cr	FY29-30	Weak: the target date already slid

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Goal of debt-free in 1-2 years (Apr 2025) not repeated; free cash flow only once working capital falls toward 120 days by year-end (Oct 2026).
New business	Yes	"First-ever order of nuclear power sector... generator transformers for NPCIL Kaiga" (Oct 2026); UK subsidiary set up for Europe.
Margin up	Yes	Margin 16.1% vs 8.8% a year ago "reflects the benefit of higher operating leverage and improved utilization" (Oct 2026).
New management	No	Same MD/CEO; EY appointed for investor relations (Jul 2026).
New capacity	Yes	Changodar to 35,000 MVA, "commercial production expected to commence around Diwali" (Oct 2026).

Big orders	Yes	Order book ₹7,237 cr, up 32%, executable over 18-24 months; ₹21,000 cr of enquiries (Oct 2026).
Turnaround	No	Already profitable; this is a recovery from a weak Q2 FY26, not a turnaround.
Promoter buying	No	Not mentioned; promoter stake flat.

Single concrete driver: a two-year-plus transformer order book now being billed faster as the bigger Changodar plant starts up, with in-house parts plants meant to lift margins from FY28.

3c. Margin bridge

Operating margin 16% this quarter against 9% a year ago, when low-margin orders, a copper-wire shortage and customers' sites not being ready hurt. It's up because the plants were busier and fixed costs got spread over more sales. Price-variation clauses mean costlier raw materials mostly pass through. Management guides 16% for the year and says the parts plants add more later, so it calls this lasting. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Apr 2024	Exports to 15% by FY25, 20-25% by FY26-27	Exports ~8% of Q2 FY27 sales	Missed
Apr 2025	US$1 billion sales within 3 years; debt-free in 1-2 years	Target pushed to late FY29/early 2030; debt still ₹575 cr	Dropped / slipping
Nov 2025	FY26 sales ~₹2,600 cr, at least 25% growth, 16% margin; Changodar "next quarter"	FY26 sales ₹2,395 cr (+23%); Changodar slipped about a year	Missed
Jan-Apr 2026	Order book ~₹8,000 cr by FY26 end	~₹5,000 cr; management says it chose to turn down long-dated orders	Missed
Apr 2026	FY27 growth of 35-40%	Cut to 25% in July	Missed (reset)
Jul 2026	FY27: 25% growth, 16% margin; growth picks up from Q3; CTC plant by Q2	H1 up 35%, Q2 margin 16%; CTC slipped to Q3/Q4	Delivered (CTC partly)

Narrative drift: the core story (grid spending, order book, own parts plants) hasn't changed in three years, and that part is credible. What keeps changing is the dates. Through FY26 the company missed its revenue, order-book and export targets, and investors on the April 2026 call said openly that the CFO-turned-director's TV targets didn't match the calls. In July the CEO reset expectations, promising only guidance it's sure of, hired EY for investor relations, and the first quarter after that reset delivered. One good quarter after a reset is a start, not a record.

5. Bottom line: two verdicts

Durable earning trigger? → **YES**

The order book is real, it's growing, it's spread across utilities and private buyers, and Q2 shows the money finally coming through with a much better margin. Bigger capacity starts right now. The margin kicker from in-house parts and the HVDC entry are further out and less certain, but the base trigger doesn't depend on them.

Management consistent? → **MAYBE**

The strategy is steady but the delivery record is patchy: FY26 sales guidance missed, the order-book target missed, Changodar a year late, and every parts plant has slipped a quarter or two. The July reset and a strong Q2 against the new, lower bar are encouraging. Two more quarters on time would move this to Yes.

6. Checkpoints for next quarter

- Changodar expansion is in commercial production by the Q3 call
- Copper-wire (CTC) plant finishes trial runs and starts in-house supply
- Full-year guide of 25% growth and 16% margin is still held

Sources: Screener.in financials and 15 earnings-call transcripts (Aug 2023 to Oct 2026). Not investment advice. Do your own due diligence.